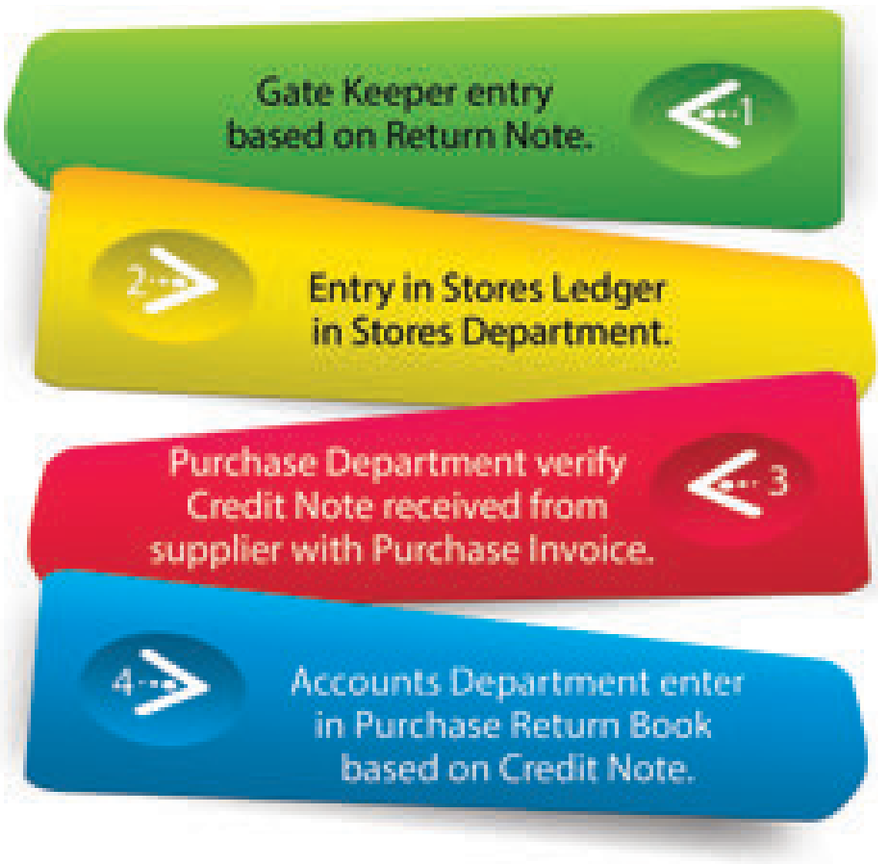


1.11.3 Internal Check-Sales



Sales are the most important source of revenue in a business and hence the possibilities of errors and frauds taking place are greater. Frauds maybe committed in the following ways:

- Sales may be omitted from recording in the sales book.
- Fictitious sales may be accounted.
- Sale of fixed assets may be treated as sale of goods.

In order to overcome the occurrence of such type of frauds, an effective system of internal check as regards credit sales is necessary which may be in the following manner.

1. On receipt of order from the customers, it should be numbered and the particulars entered in the order received book.
2. The order copy should be handed over to the dispatch department who makes necessary arrangements for delivery of goods.
3. When the goods ordered are ready for delivery the dispatch department should inspect the goods with the order copy and enter the details of goods delivered in the dispatch memo.

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